Financial Disclosure in the United States and New Cybersecurity Regulations

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Introduction

- In the United States, publicly traded companies are required to periodically submit documents to the Securities and Exchange Commission (SEC) to ensure transparency and investor protection.
- The main disclosure forms include:
  - Form 10-K (annual report)
  - Form 10-Q (quarterly report)
  - Form 8-K (current report for material events)

Form 10-K

- **Definition:** Form 10-K is the annual report that publicly traded companies must submit to the SEC, providing a comprehensive overview of their financial performance.
- **Content:**
  - Company history and organizational structure.
  - Audited financial statements.
  - Analysis of economic-financial results.
  - Description of business strategy.
  - Discussion of risk factors.
  - Governance information.
- **Filing deadlines:**
  - Large Accelerated Filers (market capitalization \$700 million): within 60 days of fiscal year end.
  - Accelerated Filers (market capitalization between \$75 and \$700 million): within 75 days.
  - Non-Accelerated Filers (market capitalization $<$ \$75 million): within 90 days.

Form 10-K Structure (1/2)

1. **Part I (Items 1–4)**
   - Item 1: Business
   - Item 1A: Risk Factors
   - Item 1B: Unresolved Staff Comments
   - Item 1C: Cybersecurity
   - Item 2: Properties
   - Item 3: Legal Proceedings
   - Item 4: Mine Safety Disclosures
2. **Part II (Items 5–9C)**
   - Item 5: Market for Registrant's Common Equity, ...
   - Item 6: Consolidated Financial Data
   - Item 7: Management's Discussion and Analysis (MD&A)
   - Item 7A: Quantitative and Qualitative Disclosures About Market Risk
   - Item 8: Financial Statements and Supplementary Data
   - Item 9: Changes in and Disagreements With ...
   - Item 9A: Controls and Procedures
   - Item 9B: Other Information

Form 10-K Structure (2/2)

3. **Part III (Items 10-14)**
   - Item 10: Directors, Executive Officers and Corporate Governance
   - Item 11: Executive Compensation
   - Item 12: Security Ownership of Certain Beneficial Owners ...
   - Item 13: Certain Relationships and Related Transactions, and Director Independence
   - Item 14: Principal Accounting Fees and Services
4. **Part IV (Items 15–16)**
   - Item 15: Exhibits and Financial Statement Schedules
   - Item 16: Form 10–K Summary

Source: Form 10-K General instructions

Form 10-K Example

Source: Form 10-K AAPL (2024)

Form 10-Q

- **Definition:** Form 10-Q is the quarterly report that provides updates on the financial performance of publicly traded companies.
- **Content:**
  - Unaudited financial statements.
  - Management analysis of operating results.
  - Updates on risk factors.
- **Filing deadlines:**
  - Large Accelerated Filers and Accelerated Filers: within 40 days of the end of the fiscal quarter.
  - Non-Accelerated Filers: within 45 days.

Form 8-K

- **Definition:** Form 8-K is a current report used to communicate material corporate events that occur between periodic filings.
- **Examples of events to report:**
  - Changes in corporate leadership.
  - Significant acquisitions or divestitures.
  - Bankruptcies.
  - Material cybersecurity incidents.
- **Filing timeline:** Companies must file Form 8-K within 4 business days of the event (with possible extension up to 60 days).

Form 8-K Structure (1/2)

- **Section 1 – Registrant's Business and Operations**
  - items 1.01 - 1.05 (e.g. Material Definitive Agreements, Bankruptcies, Cybersecurity Incidents)
- **Section 2 – Financial Information**
  - items 2.01 - 2.06 (e.g. acquisitions and divestitures, operating results, financial obligations)
- **Section 3 – Securities and Trading Markets**
  - items 3.01 - 3.03 (delisting, sales of unregistered securities, material changes to security holder rights)
- **Section 4 – Matters Related to Accountants and Financial Statements**
  - items 4.01 - 4.02 (changes in accountant, non-reliance on previously issued financial statements)

Form 8-K Structure (2/2)

- **Section 5 – Corporate Governance and Management**
  - items 5.01 - 5.08 (e.g. changes in control, resignations or appointments of officers, amendments to articles of incorporation)
- **Section 6 – Asset-Backed Securities**
  - items 6.01 - 6.06 (e.g. Change of Servicer or Trustee)
- **Section 7 – Regulation FD Disclosure**
  - item 7.01 (material communications under Reg. FD)
- **Section 8 – Other Events**
  - item 8.01 (other material events not covered elsewhere)
- **Section 9 – Financial Statements and Exhibits**
  - item 9.01 (financial statements, pro formas, exhibits and supporting documents)

Source: Form 8-K General instructions

Form 8-K Example

Source: Form 8-K MSFT (17/01/2024)

Cybersecurity Disclosure in Form 10-K

- **New SEC Rules (July 2023):** Require publicly traded companies to annually provide information on cybersecurity risk management, strategy and governance in Form 10-K, specifically in Item 1C (Cybersecurity).
- **Information to report (Item 106, Regulation S-K):**
  - Risk Management and Strategy: Processes to identify, assess and manage cyber threats, including integration of cybersecurity into business strategy.
  - Cybersecurity Governance: Role of the board of directors and committees in overseeing cyber risks.
- A considerable number of companies also integrate cybersecurity information in Item 1A (Risk Factors), highlighting specific risks associated with cyber threats.

Source: Cybersecurity Disclosure Overview: A Survey of Form 10-K Cybersecurity Disclosures by S&P 100 Companies (2025)

S&P 100 Companies Disclosure Trends

Item 1C disclosures vary significantly among companies, reflecting each company's specific circumstances. In fact:

- 66% of companies divide Item 1C into two main sections: (1) Risk Management and Strategy, and (2) Cybersecurity Governance.
- 33% include subsections within one or both main sections.
- 23% do not use any specific headings.
- 11% adopt headings different from the standard structure, including more than two sections or using alternative titles.

Source: Cybersecurity Disclosure Overview: A Survey of Form 10-K Cybersecurity Disclosures by S&P 100 Companies (2025)

Cybersecurity Disclosure in Form 8-K

- **Disclosure obligations:** Since December 18, 2023, companies are required to report "material" cybersecurity incidents in Form 8-K, describing the nature, scope, timing and financial impacts of the event.
- **Timeline:** Reporting must occur within 4 business days of determining the materiality of the incident, with possible postponement up to 60 days for national security reasons.
- **Materiality impact:** Only 14% of incidents reported in the first year were considered "material". 28% of cases reported materiality as "undetermined".
- **Alternative items (8.01, 7.01):** When in doubt about materiality, companies have preferred to resort to voluntary disclosures under Item 8.01 or 7.01, in line with SEC advice.

Source: Results from the First Year of Cybersecurity Incident Filings on Form 8-K (2025)

Reporting Trends and Incident Types

- **Volumes:** In 2024, 55 incidents were reported by 54 companies.
- **Timeline:** Average reporting time = 12 days from discovery; 50% met the 4-day threshold.
- **Updates:** About 1/3 of companies filed more than one Form 8-K for the same incident; on average, the first update occurred after 32 days.

Source: Results from the First Year of Cybersecurity Incident Filings on Form 8-K (2025)

Our Results

- **Companies analyzed:** 8-K filings from 9,737 US companies published between July 2023 and today were examined.
- **Volumes:** 91 Form 8-K filings were identified from 66 different companies, relating to 69 cyber attacks.
- **Timeline:** The average reporting time found is approximately 12 days. In 56% of cases, the 4-day threshold was met.
- **Updates:** 18 companies filed more than one Form 8-K, with an average update time of 36 days. 2 companies first declared via item 8.01 and then 1.05, formalizing the materiality of the event.
- **Other info:** 1 company received more than one attack.

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